**Movement in Exit Cost Liabilities**

The movement in exit cost liabilities for PMI was as follows:

| (in millions) | | |
|---|---|---|
| Liability balance, January 1, 2014 | $ | 308 |
| Charges, net | | 391 |
| Cash spent | | (360) |
| Currency/other | | (69) |
| Liability balance, December 31, 2014 | $ | 270 |
| Charges, net | | **68** |
| Cash spent | | **(232)** |
| Currency/other | | **(52)** |
| Liability balance, December 31, 2015 | **$** | **54** |

Cash payments related to exit costs at PMI were $232 million, $360 million and $21 million for the years ended December 31, 2015, 2014 and 2013, respectively. Future cash payments for exit costs incurred to date are expected to be approximately $54 million, and will be substantially paid by the end of 2017.

The pre-tax asset impairment and exit costs shown above are primarily a result of the following:

*The Netherlands*

On April 4, 2014, PMI announced the initiation by its affiliate, Philip Morris Holland B.V. ("PMH"), of consultations with employee representatives on a proposal to discontinue cigarette production at its factory located in Bergen op Zoom, the Netherlands. PMH reached an agreement with the trade unions and their members on a social plan and ceased cigarette production on September 1, 2014. During 2014, total pre-tax asset impairment and exit costs of $489 million were recorded for this program in the European Union segment. This amount includes employee separation costs of $343 million, asset impairment costs of $139 million and other separation costs of $7 million.

*Other*

**Separation Program Charges**

PMI recorded other pre-tax separation program charges of $68 million, $41 million and $51 million for the years ended December 31, 2015, 2014 and 2013, respectively. The 2015 other pre-tax separation program charges primarily related to severance costs for the organizational restructuring in the European Union segment. The 2014 other pre-tax separation program charges primarily related to severance costs for factory closures in Australia and Canada and the restructuring of the U.S. leaf purchasing model. The 2013 pre-tax separation program charges primarily related to the restructuring of global and regional functions based in Switzerland and Australia.

**Contract Termination Charges**

During 2013, PMI recorded exit costs of $258 million related to the termination of distribution agreements in Eastern Europe, Middle East & Africa (due to a new business model in Egypt) and Asia.

**Asset Impairment Charges**

During 2014, PMI recorded other pre-tax asset impairment charges of $5 million related to a factory closure in Canada.